MOROOM AFRICA

Privileged & Confidential *By email*

February 16, 2026

Ms. Marley Broda
Chief Executive Officer
TON Infrastructure Ltd.
Email: marley@ton-infra.com

CC:

Tyler Macpherson (tyler@ton-infra.com)
Jeff Jespersen (jeff@ton-infra.com)
Brain Claypool (brain@ton-infra.com)
,

RE: NRG BLOOM INC. v. TON INFRASTRUCTURE LTD. - INVOCATION OF SECTION 7 DISPUTE RESOLUTION - NOTICE OF SUBSTANTIAL CLAIMS ARISING FROM BREACH OF CONTRACT, CIRCUMVENTION, AND UNJUST ENRICHMENT

1. INTRODUCTION

1.1 We act as legal counsel to NRG Bloom Inc. ("NRG Bloom") on whose instruction we write you in respect of your Notice of Termination dated February 12, 2026, purporting to terminate the Ogboinbiri 5MW Site Development & Revenue Sharing Agreement dated May 16, 2025, as amended by Addendum No. 1 dated July 3, 2025 (collectively, the "Agreement").

1.2 We refer specifically to **Section 7 (Dispute Resolution)** of the Agreement, which provides that:

"Any dispute arising out of or in connection with this Agreement shall be resolved through a first attempt of good-faith negotiations for thirty (30) days. If unresolved through negotiation, the

shall be submitted to mediation. If mediation fails to resolve the dispute within forty-five (45) days, it shall be submitted to arbitration in accordance with the laws of the federal Republic of Nigeria."

Accordingly, this letter constitutes a formal notice of the commencement of the mandatory thirty (30) day good faith negotiation under Section 7 of the Agreement.

1.3. For the avoidance of doubt, our client categorically disputes the validity and legal basis of the purported termination. Our client maintains that the Notice of Termination is wrongful and issued in breach of the express terms of the Agreement. Our client further asserts that it has substantial claims against TON Infrastructure Ltd. (TON) arising from TON's conduct throughout the thirteen (13) month subsistence of the contractual relationship, including but not limited to breaches of contractual obligations, acts and omissions causing delay, conduct inconsistent with the duty of good faith and fair dealing, and actions or inactions that directly occasioned the severance and deterioration of established relationships with key stakeholders and partners. This letter outlines the disputes and claims in issue, provides a quantification of the damages arising therefrom, and proposes a structured framework for their resolution:

2. NRG BLOOM'S POSITION

2.1 Value Created by NRG Bloom

2.1.1 Between January 2025 and February 2026, NRG Bloom conceived and operationalized the Nigerian Bitcoin mining opportunity that formed the foundation of TON's market entry. The opportunity, including NRG Bloom's proprietary pipeline, was disclosed to TON under the protection of the Non-Disclosure Agreement. NRG Bloom negotiated a $0.03/kWh power tariff with Axxela, valued at approximately USD $15.3 million over five (5) years per TON's financial projections. NRG Bloom introduced TON to all critical stakeholders, including the community Power of Attorney, senior representatives of Axxela Group, Shugamine's representatives, the Community King, and other relevant local officials.

2.1.2. NRG Bloom further coordinated TON's physical entry into Nigeria, including visa arrangements, travel logistics, site inspections, and military and police security escorts. For thirteen (13) months, NRG Bloom managed all local operations, including permitting, licensing, regulatory engagement, infrastructure coordination, security oversight, and staffing. It cleared a pre-existing client to secure exclusive access to the site for TON, mitigated significant security threats that could have derailed the project, reduced projected customs exposure from approximately 35% to roughly USD $20,000, coordinated international shipment and container logistics to the remote

Ogboinbiri site, and advanced land lease payments from its own funds when TON delayed payment, thereby preventing community unrest

2.1.3 The total documented value conferred upon TON by NRG Bloom is conservatively estimated between USD $1,000,000 to USD $2,000,000. By contrast, the entirety of the compensation received by NRG Bloom consisted solely of a 33% hashrate allocation on 30 ASIC miners for a limited duration of approximately five (5) weeks (22 December 2025 – 26 January 2026). No operations fee was ever paid, and no revenue share whatsoever was received in respect of TON's principal container deployment. Accordingly, the aggregate benefit received by NRG Bloom represents less than one percent (1%) of the value created and transferred to TON.

2.2 Progressive Devaluation Through Economic Duress

2.2.1 An assessment of the record of events further reveals a pattern of systematic extraction of more favorable terms by TON through repeated termination threats. On **February 19, 2025**, the parties had agreed to a Joint Venture structure under which NRG Bloom was to hold a 1MW allocation, earn all mining rewards attributable thereto, and receive a monthly operations fee of USD $9,000. However, between **April and May 2025**, this arrangement was first materially devalued to a 40% revenue split with a corresponding reduction in the operations fee.

2.2.3 On **May 13, 2025**, at approximately 4:42 a.m., TON issued a termination threat while NRG Bloom was in transit to Edmonton, notwithstanding that exactly one week prior thereto, Tyler Macpherson had expressly reaffirmed his commitment via text message in anticipation of the scheduled Edmonton visit. This abrupt reversal was subsequently acknowledged by Tyler Macpherson as a "calculated tactic". Merely three (3) days later, on **May 16, 2025**, the commercial terms were further diminished to an 8% revenue share and a reduced operations fee of USD $875 per month. On **June 17, 2025**, TON issued yet another ultimatum imposing a same-day deadline, and the process culminated in the purported termination of 12 February 2026 with zero compensation.

2.2.4 Each devaluation occurred after NRG Bloom had made substantial financial and operational commitments, thereby constituting economic duress and amounts to an inequitable and unconscionable variation of the parties' original contract.

2.3 Breach of Non-Circumvention Obligations

2.3.1 TON further breached its non-circumvention obligations under ***Section 8 of the Mutual Non-Disclosure Agreement*** dated January 10, 2025. On July 4, 2025, Marley Broda via an email to Franklin Umole, Managing Director of Axxela Group (a party introduced to TON exclusively through the efforts of NRG Bloom) stated:

"I want to confirm that the primary agreement for this project will be directly between Axxela and TON. NRG Bloom is fully aware of this arrangement…"

2.3.2 That representation was false. NRG Bloom neither consented to any such arrangement. Upon discovery, Mr. Volcy immediately raised the NDA's non-circumvention provision. Notwithstanding that objection, TON continued direct engagement with Axxela, as later confirmed by TON's own representatives and third-party sources.

2.3.3 Of particular mention is TON's conduct in relation to the Power Purchase Agreement ("PPA") for the Ogboinbiri site. The only consent ever granted by NRG Bloom for TON to engage directly with Agnes (a key community stakeholder) was limited and contextual. Any such consent was verbal, arising during discussions in May 2025 in Edmonton, and was confined to permitting TON to participate in discussions and negotiations alongside NRG Bloom. The only written reference via mail states: **"Going as far as trusting TON to negotiate the PPA directly with Agnes and Axxela."** That statement, properly construed, reflects permission to negotiate, not authorization to exclude NRG Bloom, to restructure ownership of the opportunity, or to appropriate the PPA for TON's sole benefit.

2.3.4 NRG Bloom never granted TON authority to secure the entire Ogboinbiri PPA exclusively in its own name, nor to conclude any binding arrangement that extinguished or diluted NRG Bloom's economic participation. At no time was any agreement reached permitting TON to unilaterally appropriate the PPA or restructure the project without NRG Bloom's involvement. Nevertheless, TON proceeded to secure the PPA for itself alone without any agreement as to revised commercial terms.

2.3.5 This conduct constitutes a clear contractual breach of the provision of the Agreement that provides that each Party shall be entitled to compensation for introductions and consulting services in respect of any Referred Party. It further provides that compensation shall be

negotiated through a subsequent agreement and that neither Party shall enter into an agreement for the lease or purchase of the introduced property or Referred Party without first entering into a prior written agreement with the other Party relating to compensation for services.

2.4 Wrongful Termination

2.4.1 TON's purported termination is wrongful on multiple grounds. First, it rests on a clear misattribution of fault, as **Section 7 of Addendum No. 1** expressly allocated responsibility for land lease management to TON; accordingly, any loss of site authorization is attributable to TON's own breach.

2.4.2 Second, the timing of the termination is highly suspicious, occurring precisely at the point when operations were set to commence following thirteen (13) months of substantial work and investment by NRG Bloom.

2.4.3 Third, the alleged safety concerns were raised approximately ten months after TON executives personally inspected and approved the equipment and site conditions. Moreover, TON's refusal to pay the agreed operations fee contributed to the staffing instability, which TON then cited as justification for termination. A party cannot rely on circumstances of its own creation to ground termination.

2.4.4 On the basis of the foregoing, NRG Bloom possesses substantial and actionable claims against TON, including but not limited to: multiple breaches of contract; breach of Section 8 (Non-Circumvention) of the Mutual Non-Disclosure Agreement; unjust enrichment and/or recovery in quantum meruit for value conferred; tortious interference with established business relationships; economic duress vitiating and rendering certain variations voidable; and breach of the implied covenant of good faith and fair dealing.

3. LEGAL FRAMEWORK UNDER NIGERIAN LAW

3.1 NRG Bloom's claims are firmly grounded in established principles of Nigerian contract and commercial law, as supported by binding judicial authorities.

3.2 Breach of Contract

3.2.1 It is trite law that a party who fails to perform its contractual obligations is liable in damages sufficient to place the innocent party in the position it would have occupied had the contract been

duly performed. In **SPDC v. JAMMAL ENGINEERING (NIG) LTD (1974) LPELR-3045(SC)**, the Supreme Court held that ***"… a party in breach of his contract is liable in damages and the aggrieved party is entitled to such an owing necessarily from the breach in that either the injury suffered by the aggrieved was in the contemplation of both parties at the time of the institution of the contract or is an inevitable consequence of the breach."***

3.2.2 In the instant case, TON committed multiple material breaches, including its failure to achieve operational status within the contemplated timeframe, its failure to maintain the land lease in accordance with Section 7 of Addendum No. 1, its refusal to pay the agreed operations fee, and its wrongful termination at a time when NRG Bloom was actively performing and had substantially invested in the project. These breaches entitle NRG Bloom to compensatory damages, including loss of anticipated profits.

3.3 Unjust Enrichment and Quantum Meruit

3.3.1 The law recognises that where services are rendered with an expectation of payment, and the recipient accepts and benefits from those services, the law imposes an obligation to pay reasonable remuneration where it would be unjust to retain the benefit without compensation.

3.3.2 In **EGBE & ANOR v. ODU (2014) LPELR-23805(CA**), the Court established that *"**a claim on quantum meruit arises where one person has expressly or impliedly requested another to render him a service without specifying remuneration but the circumstances of the request imply that the service is to be paid for ...**"*

3.3.3 NRG Bloom rendered extensive and valuable services over a thirteen-month period, including originating the opportunity, facilitating market entry, securing key relationships, coordinating regulatory compliance, managing operations, and delivering material cost savings. TON knowingly accepted and exploited these benefits. In light of the termination without meaningful compensation, it would be inequitable to permit TON to retain these benefits without payment of their reasonable value.

3.4 Breach of Confidence and Misuse of Confidential Information

3.4.1 Information disclosed under circumstances connoting confidence, particularly pursuant to a Non-Disclosure Agreement, cannot lawfully be used to the detriment of the disclosing party.

3.4.2 In **Fidelity Bank Plc v Onwuka (2017) LPELR-42839(CA),** the Court of Appeal held that a breach of a bank's legal duty of confidentiality not to disclose information to third parties would give rise to liability in damages.

3.4.3 NRG Bloom disclosed proprietary pipeline information, commercial intelligence, negotiated terms, and critical stakeholder relationships pursuant to the Mutual Non-Disclosure Agreement dated January 10, 2025. TON's subsequent direct dealings with those very counterparties, to the exclusion of NRG Bloom, constitute actionable misuse of confidential information and a breach of the non-circumvention undertaking.

3.5 Economic Duress

3.5.1 An agreement procured through illegitimate commercial pressure is voidable at the instance of the aggrieved party. In the case of **Pao On v Lau Yiu Long [1980] AC 614 ,** The plaintiff had threatened not to proceed with a contract for the sale of shares, unless the other side agreed to a renegotiation of certain subsidiary arrangements. Anxious to complete the main agreement but knowing that they could claim specific performance of it, the defendant, wishing to avoid litigation, agreed. When the plaintiff later tried to enforce these arrangements, the defendant claimed that they had been extracted by duress and were therefore voidable. The Privy Council held that the plaintiff was entitled to succeed

3.5.2 TON repeatedly issued termination threats, including ultimatums with immediate deadlines, at moments when NRG Bloom had already made substantial financial and operational commitments. Given the extent of NRG Bloom's sunk costs, disclosures, and relationship investments, it had no practical alternative but to submit.

3.5.3 Each threat came after NRG Bloom had made substantial investments in the relationship and, with TON's full knowledge that NGR Bloom had turned down Marshall Long (NRG Bloom's former client and sole source of revenue) thereby placing NRG Bloom under extreme commercial pressure with no practical alternative, which underscores the illegitimate and coercive nature of TON's conduct.

3.6 Tortious Interference with Business Relationships

3.6.1 The tort of interference with business relations arises where a party, with knowledge of an existing commercial relationship or expectancy, intentionally interferes through improper means, causing damage**.** The Court of Appeal in **AVERY BERKEL LTD & ANOR v. AVOLAD (NIG) LTD (2025) LPELR-81470(CA),** defining what constitutes a tortious interference stated that ***"To establish liability for tortious interference with a contractual relationship under tort principles, the claimant must prove the following essential elements: (1) Existence of a valid and enforceable contract between the Claimant and another party. (2) Knowledge of that contract by the Defendant; (3) Intentional and unjustified interference or inducement of a breach of contract by the Defendant. (4) Damage or harm to the Claimant caused directly by the Defendant's conduct."***

3.6.2 NRG Bloom introduced TON to Axxela and its Managing Director, Franklin Umole, (one of the key stakeholders) strictly within the framework of a collaborative partnership and pursuant to the Mutual Non-Disclosure Agreement. TON was fully aware of the execution timeline communicated by Franklin, including the commercial imperative that the Power Purchase Agreement be concluded in time for project commencement in September 2025. Notwithstanding this and following NRG Bloom's refusal to accept the ridiculous finder's fee of $1,000 per MW, TON deliberately stalled negotiations and misrepresented that NRG Bloom had accepted the fee, thereby creating avoidable delay and commercial friction. During this period, communications were sent to TON expressly noting that "Franklin's getting a bit impatient" and emphasizing the urgency of the timeline, but TON were unresponsive. TON's conduct directly undermined NRG Bloom's credibility with Axxela, resulting in frustration, distrust, and material damage to the relationship NRG Bloom had cultivated.

3.6.3 TON subsequently leveraged the very access and confidential commercial positioning obtained through NRG Bloom to pursue direct dealings that excluded NRG Bloom. Such conduct constitutes intentional interference with established business relationships causing demonstrable economic loss and damages to NRG Bloom.

3.7 Breach of the Implied Duty of Good Faith and Fair Dealing

3.7.1 It is trite law that embedded in contractual obligations is the implied duty of good faith and fair dealing in a manner that does not undermine the legitimate expectations arising from the agreement.

3.7.2 TON's conduct, including the use of termination threats as negotiation tactics, refusal to pay agreed fees while benefiting from ongoing performance, creation of operational instability and subsequent reliance on that instability as justification for termination, circumvention of NRG Bloom after receiving introductions, and termination at the precise moment returns were imminent, collectively constitutes a breach of the implied duty of good faith and fair dealing.

4. QUANTIFICATION OF DAMAGES

4.1 Restitutionary Damages (Quantum Meruit)

4.1.1 Based on the value of services rendered by NRG Bloom:

SERVICE CATEGORY	FAIR MARKET VALUE
Market entry & business development (originating opportunity, pipeline disclosure)	₦250,000,000 - ₦500,000,000
Critical relationship introductions (Agnes, Axxela, community, officials)	₦200,000,000 - ₦400,000,000
Power rate negotiation ($0.03/kWh - $15.3M value)	₦150,000,000 - ₦300,000,000
Regulatory compliance & permitting (7 agencies)	₦50,000,000 - ₦100,000,000
13 months local operations management	₦150,000,000 - ₦300,000,000
Logistics coordination, customs reduction	₦40,000,000 - ₦80,000,000
Security management, threat navigation	₦30,000,000 - ₦60,000,000
Nigeria visit coordination (February 2025)	₦25,000,000 - ₦50,000,000
Infrastructure & site preparation	₦60,000,000 - ₦120,000,000
SUBTOTAL (Naira)	**₦955,000,000 - ₦1,910,000,000**

USD Equivalent (₦1,650/USD)	**$578,788 - $1,157,576**
Conservative claim: ₦1,000,000,000 ($606,060 USD)	

4.2 Contractual Damages (Lost Profits)

4.2.1 In this instant case, the loss of anticipated mining revenues was plainly within the contemplation of the parties, forming the very commercial foundation of the Joint Venture. Even applying the devalued terms imposed on **May 16, 2025** (8% revenue share and USD $875 monthly operations fee), a conservative 24-month projection yields anticipated profits in the range of **₦200,000,000 to ₦300,000,000** (approximately USD $121,212 – $181,818).

4.2.2 Under the original Joint Venture structure agreed on **February 19, 2025**, which provided for 1MW ownership, entitlement to all mining rewards, and a USD $9,000 monthly operations fee, a 24-month projection conservatively ranges between **₦1,500,000,000 and ₦2,000,000,000** (approximately USD $909,090 – $1,212,121).

4.2.3 Without prejudice to its full entitlement, NRG Bloom advances a conservative claim for contractual lost profits in the sum of **₦250,000,000 (approximately USD $151,515)**.

4.3 Consequential Damages

4.3.1 As a direct consequence of TON's conduct, NRG Bloom has suffered:

a. Loss of valuable Nigerian business relationships and commercial opportunities cultivated over thirteen months, conservatively valued between ₦200,000,000 and ₦400,000,000;

b. Opportunity costs arising from alternative transactions foregone in reliance on the partnership, estimated between ₦100,000,000 and ₦200,000,000;

c. Travel, accommodation, and operational expenditures incurred in furtherance of the project in the range of ₦25,000,000 to ₦50,000,000;

d. An unreimbursed one year land lease payment of ₦1,000,000 advanced to preserve project continuity.

4.3.2 On a conservative basis, NRG Bloom advances a claim for consequential damages in the sum of ₦300,000,000 (approximately USD $181,818).

D. Total Damages Summary

CATEGORY	CONSERVATIVE (NAIRA)	CONSERVATIVE (USD)	AGGRESSIVE (NAIRA)	AGGRESSIVE USD)
Restitution (Quantum Meruit)	₦1,000,000,000	$606,060	₦1,900,000,000	$1,151,515
Contractual (Lost Profits)	₦250,000,000	$151,515	₦1,500,000,000	$909,090
Consequential	₦300,000,000	$181,818	₦600,000,000	$363,636
TOTAL	**₦1,550,000,000**	**$939,393**	**₦4,000,000,000**	**$2,424,241**

5. CRITICAL FACTUAL DISPUTES

5.1 Termination Grounds.

5.1.1 TON alleged that NRG Bloom was "no longer authorized to operate" and was "unable to fulfill obligations." These assertions are untrue and unsustainable on the following grounds:

5.1.2 First, **Section 7 of Addendum No. 1** expressly allocated responsibility for land lease management to TON. To the extent that in the event that any site authorization issue arose, it falls within TON's contractual responsibility. A party cannot rely upon deficiencies within its own scope of responsibility as grounds for termination.

5.1.3 Second, TON itself acknowledged that operations had not commenced after approximately nine months, stating that its 40-foot container had not yet commenced operations. It is therefore internally inconsistent to allege operational default by NRG Bloom in circumstances where TON's own deployment had not become operational.

5.1.4 Third, NRG Bloom maintained operational access and active site management through 9 February 2026, three days prior to the termination notice. Contemporaneous correspondence from Makir Volcy dated 9 February 2026 evidenced ongoing engagement with the community and continued operational oversight.

5.1.5 If any site authorization concerns existed, they arose from TON's failure to properly discharge its land lease obligations under the amended agreement. The purported termination therefore rests on their undischarged responsibility and is contractually defective.

5.2. The "Finder's Fee" Misrepresentation

5.2.1 TON further asserted that NRG Bloom agreed to a USD 1,000 per MW "finder's fee," in Tyler Macpherson's mail dated 8 July 2025. Our client categorically states that no such agreement was ever reached or discussed.

5.2.2 It is worthy of note that Makir Volcy in an email dated 11 July 2025 immediately rejected that characterization. NRG Bloom did not function as a mere finder. It originated the opportunity, led due diligence, engaged in extensive negotiations, and provided structured stakeholder relationships.

5.2.3 The proposed USD 1,000 per MW fee, amounting to USD 10,000 in total, represents approximately 0.065 percent of the projected five-year PPA value. The suggestion that NRG Bloom's contribution could be reduced to such a nominal figure is commercially irrational and inconsistent with the documented scope of its involvement.

5.2.4 The mischaracterization of NRG Bloom's role evidences an attempt to minimize NRG Bloom's contribution in order to rationalize exclusion from the core project asset.

5.3 The "Calculated Tactic" Admission

5.3.1 Tyler Macpherson sent a termination notice via WhatsApp while Makir Volcy and Julie Peeters were in transit to Edmonton for partnership discussions on May 13, 2025, at about 4:42 a.m, notwithstanding that exactly one week prior thereto, Tyler Macpherson had expressly reaffirmed his commitment via text message in anticipation of the scheduled Edmonton visit.

5.3.2 Subsequently, in the presence of Julie Peeters, Tyler admitted to Makir Volcy that the termination was a "calculated tactic," not a genuine decision to end the relationship. This admission demonstrates bad faith and supports a finding of economic duress.

5.3.3 Termination threats deployed strategically to extract commercial concessions constitute illegitimate pressure and undermine the validity of subsequent amendments. The admission further diminishes the credibility of TON's later reliance on termination based on good faith.

5.4 Axxela Circumvention

5.4.1 TON's dealings with Axxela demonstrates deliberate acts of circumvention. NRG Bloom disclosed the Axxela opportunity and effected the introduction to TON on 14 & 15 January, 2025. Thereafter, NRG Bloom led substantive commercial engagement with Axxela. Discussions concerning financial models and project projections commenced as early as February 2025. Email correspondence confirms that by April 14 and April 22, 2025, NRG Bloom was actively negotiating pricing and commercial terms directly with Axxela representatives. These communications predate any assertion that TON independently originated or led negotiations.

5.4.2 TON received a draft Power Purchase Agreement from Axxela on June 27, 2025, and NRG Bloom was not informed that this draft had been issued. Furthermore, TON removed all NRG Bloom staff from the relevant email correspondence relating to the PPA negotiations. This is confirmed by the email thread later forwarded to NRG Bloom by Nana on July 7, 2025, after NRG Bloom inquired directly about the status of the PPA. That email thread evidenced ongoing commercial discussions and scheduled meetings between TON and Axxela from which NRG Bloom had been deliberately excluded.

5.4.3 The deliberate removal of NRG Bloom from the communication chain, coupled with the failure to disclose receipt of the draft PPA, constitutes clear evidence of circumvention. It demonstrates a coordinated effort to isolate NRG Bloom from negotiations concerning an opportunity it originated and materially developed. TON subsequently relied on this engineered absence from ongoing communications to minimize and mischaracterize NRG Bloom's role in the transaction.

5.4.2 On 4 July 2025, Marley Broda mailed Franklin Umole, Managing Director of Axxela, stating that the primary agreement would be directly between Axxela and TON and representing that "NRG Bloom is fully aware." That statement was false. NRG Bloom neither consented to nor was informed of any such restructuring. Upon discovering the communication on 11 July 2025, Makir Volcy immediately objected and invoked the non-circumvention provisions of the Mutual Non-Disclosure Agreement.

5.4.3. Despite that formal objection, TON continued to advance a direct arrangement with Axxela, despite delaying meaningful engagement on the Power Purchase Agreement, and being fully aware of the urgency communicated by Axxela's Managing Director. That delay materially strained the relationship NRG Bloom had cultivated with Axxela. In September 2025, Tyler Macpherson expressly acknowledged during a call his intention to execute the Power Purchase Agreement directly with Franklin the following week, and independent sources subsequently confirmed that the arrangement was progressing. ..

5.4.4 This sequence of acts constitutes a direct breach of Section 8 of the Mutual Non-Disclosure Agreement. The combination of intentional delays, false representations, continued circumvention after express objection, the use of confidential introductions and relationships for TON's exclusive benefit shows the deliberate act of circumvention.

5.5 Fabricated "Safety" Pretext

5.5.1 The reliance on alleged safety concerns by TON is inconsistent with the factual record of events. In February 2025, Jeff Jespersen and Tyler Macpherson personally visited Nigeria and inspected NRG Bloom's 20-foot container.

5.5.2 By February 24, 2025, Tyler expressed satisfaction with the visit, stating that he would not have changed anything about the trip. The Joint Venture Agreement was executed following this inspection on February 19, 2025, and a subsequent addendum signed on 3 July, 2025 for the said container based on this same due diligence, and still no concerns from TON were mentioned.

5.5.3 On December 22, 2025, during a call with Makir, Tyler raised the electrical infrastructure issue, described it as urgent, and admitted he was displeased upon learning that 30 miners had been approved for placement to the said container. The next day, December 23, TON sent the meeting minutes via mail with unilaterally set due dates requiring NRG Bloom to secure a third-party review and quotation within approximately one week, during the end of the year holiday period. By December 31, TON sent another email stating that the unilaterally set dates were overdue and unmet, notwithstanding the constrained holiday period and NRG Bloom's repeated but unsuccessful attempts to engage constructively with TON to determine a practical path forward.

5.5.4 The delayed escalation, coupled with the imposition of unilateral unrealistic deadline and subsequent reliance on alleged non-compliance, shows that the safety allegations were advanced as a termination justification rather than as a genuine operational concern.

5.6 TON Created Termination Conditions

5.6.1 The operational breakdown cited by TON in February 2026 was the foreseeable and direct consequence of its own conduct.

5.6.2 TON refused to pay the December 2025 operations fee despite its clear contractual obligation. On 23 December 2025, Makir Volcy expressly requested payment to meet staff salary obligations during the Christmas period. Marley responded that the operations fee would not be paid until TON's container was online. At the same time, TON's own deployment delays, extending from June 2025 through January 2026, prevented revenue generation that would otherwise have supported site operations.

5.6.3 During this period, TON was actively benefiting from infrastructure maintained and funded by NRG Bloom. TON's equipment relied on NRG Bloom's on-site security and internet connectivity. NRG Bloom had even retained a dedicated security guard specifically for TON's container. Notwithstanding these ongoing services and protections, TON refused to pay the agreed management and operations fees.

5.6.4 NRG Bloom's only revenue during this period was a brief five-week hashrate allocation. The refusal to pay operations and management fees created financial strain and staff payment delays, resulting in threats of withdrawal by site personnel. In February 2026, TON unilaterally paid certain staff directly, without NRG Bloom's authorization, thereby undermining NRG Bloom's managerial authority and disrupting the operational chain of command. On 12 February 2026, TON then cited the resulting instability as grounds for termination.

5.6.5 A party cannot engineer the factual basis for termination and subsequently rely upon the consequences of its own conduct to justify non-performance. TON refused to pay contractually owed fees, caused delays that impeded revenue generation, knowingly imposed financial pressure on NRG Bloom, interfered directly with staffing control, continued to derive benefit

from NRG Bloom's infrastructure and security, and then relied on the predictable operational disruption to terminate the Agreement.

5.6.6 Such conduct constitutes a breach of the implied duty of good faith and fair dealing and further renders the purported termination unlawful.

6. PROPOSED SETTLEMENT FRAMEWORK

The following are our proposed settlement structure for the value originated and transferred by NRG Bloom, together with damages arising from TON's breaches**:**

6.1 Financial Resolution Terms:

6.1.1 Tier 1 - Minimum Acceptable: ₦1,000,000,000 (approximately $606,060 USD). This figure reflects a conservative quantum meruit valuation for value transferred, including introductions, negotiations, operational execution, infrastructure support, and origination of the opportunity. This figure does not fully account for lost profits or consequential exposure.

6.1.2 Tier 2 - Fair Settlement: ₦1,500,000,000 - ₦2,000,000,000 ($909,090 - $1,212,121 USD)

This range reflects restitution plus a partial allowance for lost profits and economic dilution resulting from TON's conduct. It appropriately recognizes NRG Bloom's foundational role in originating the opportunity, negotiating the power economics, and developing stakeholder relationships, including the Ogboinbiri PPA framework. Settlement within this range would include mutual non-disparagement undertakings, confidentiality of terms except as required by law, and mutual releases upon payment.

6.1.3 Tier 3 - Full Claim (If Arbitration Required): If negotiations fail, NRG Bloom's claim exposure range in arbitration is conservatively estimated between ₦1,550,000,000 and ₦4,000,000,000 (approximately $ 939,393 to $ 2,424,241 USD), exclusive of pre- and post-award interest, costs and attorneys' fees, expert and arbitral tribunal costs, and potential equitable remedies. This path would entail a public arbitral record, extended timeline, and materially increased financial exposure.

6.1.4 Any financial settlement must be accompanied by the following, including but not limited to; a written acknowledgment that NRG Bloom originated the opportunity and introduced the principal stakeholders, including Agnes and Axxela, mutual non-disparagement obligations,

confidentiality of settlement terms except as required by law, and mutual release of civil claims upon receipt of agreed consideration. Independent statutory or regulatory obligations would remain unaffected.

6.2 Proposed Payment Structure:

6.2.1 Option A - Lump Sum (20% settlement discount):

- ₦1,200,000,000 ($727,272 USD) paid within 14 days

- Full and final settlement

6.2.2 Option B - Structured (Full settlement amount):

- ₦800,000,000 ($484,848 USD) within 14 days

- ₦500,000,000 ($303,030 USD) within 90 days

- ₦200,000,000 ($121,212 USD) within 180 days

- Total: ₦1,500,000,000 ($909,090 USD)

6.3 Alternative - Ongoing Partnership

6.3.1 In the event that TON seeks to continue Nigerian operations in a genuine partnership structure, NRG Bloom is prepared to consider an alternative commercial arrangement subject to enforceable corporate governance protections.

6.3.2 The terms would include immediate compensation of ₦500,000,000 in recognition of past conduct, restoration of meaningful economic participation including a minimum 15 percent revenue share, a monthly operations fee of ₦7,000,000, a minimum five-year term, and termination only for defined cause subject to arbitration. Financial transparency and reporting mechanisms would also be required.

6.4 Information Required for Meaningful Negotiations

In the event that both parties decide to explore negotiations, our client would require the following information to ensure transparency and good faith between both parties:

6.4.1 Financial Transparency

a. All payments made in Nigeria from January 2025 to present, including all payment for the project execution, recipients, amounts, and dates etc.
b. The current status of TON's relationship with Axxela, including executed agreements, pending agreements, and negotiated financial terms.
c. Confirmation of the status and terms of the Ogboinbiri PPA.
d. Revenue generated from Nigerian operations to date.
e. Current operational status and forward plans

6.4.2 **Explanation of Conduct**

For the purposes of assessing good faith, our client requires clarification of the following matters:

1. Why payments were made directly to NRG Bloom's personnel without authorization?
2. Why Marley Broda represented to Axxela that "NRG Bloom is fully aware" of direct dealings when this was not true.
3. Why there was an approximate two-month delay after transporting containers to Yenagoa before securing and shipping a transformer?
4. Why alleged infrastructure concerns were raised only ten months after prior inspection and approval.
5. Why Tyler Macpherson admitted that termination was used as a "calculated tactic" to pressure renegotiation.
6. Why the contractually agreed operations fee was refused despite reliance on NRG Bloom's facilities, security, and internet infrastructure.
7. Why termination occurred precisely as operations were commencing after approximately thirteen months of development work.

7. CONCLUSION AND DEMAND

7.1 In light of the foregoing, and strictly without prejudice to its full legal and equitable rights, our client is prepared, in the interests of commercial expediency, to entertain a negotiated settlement within the range of **₦1,000,000,000 to ₦2,000,000,000**. Failing such resolution, our client will proceed to arbitration in accordance with the governing dispute resolution provisions, where TON's total exposure, inclusive of general damages, special damages, legal fees, other costs, and ancillary relief, is conservatively projected to exceed **₦4,600,000,000**.

7.2 Beyond the immediate financial exposure, TON must consider the broader implications of a formal dispute. In an industry where investor confidence and institutional partnerships are paramount, the reputational fallout from a public finding of bad faith and economic duress will be an indelible mark on TON's corporate record. Settlement offers the best avenue for a confidential, certain, and cost-effective closure that allows both parties to move forward without the shadow of protracted litigation.

7.3 Our Client remains willing to comply with the mandatory thirty-day good faith negotiation period prescribed under Section 7 of the Agreement. That obligation, however, is mutual and must be discharged in substance. Any failure to engage meaningfully, any attempt to delay, or any unreasonable posture will be treated as further evidence of bad faith, and our client will without hesitation invoke all available contractual, statutory, and equitable remedies.

7.4 Accordingly, we require your formal written response within seven (7) business days of receipt of this letter. Such response must: (i) acknowledge receipt of our letter; (ii) confirm that your designated representatives possess full authority to negotiate and bind TON to a final settlement; (iii) produce the financial and operational disclosures previously requested in Section 6.4; and (iv) provide a substantive position statement together with proposed dates for the initial negotiation plenary.

7.5 **TAKE NOTICE** that should TON fail, refuse, or neglect to respond within the stipulated period, our Client shall, without further recourse to you, immediately commence legal proceedings and pursue the full extent of its claims, and recovery of all legal and arbitral costs as permitted by the law.

Yours Faithfully,

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CC:
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